

As investors we:

- Have an incomplete understanding of the world around us.
- Assume we know the drivers of complex systems such as markets and economies.
- Underestimate the potential for significant random events to occur.
- Believe in numerous myths, false ideas, and incorrect *facts*.
- Misunderstand the degree of complexity that exists.
- Think we are apart from—yet understand—crowd psychology.

Let's put this into the broadest possible terms. Your mental model of the world around you is, at best, incomplete and often inaccurate. The simple truth is that this model works well enough. You can cross the street, catch a ball, or drive a car. It is good enough to allow you to do many things with varying degrees of success. Your model is good enough; wrong but useful.

Consider a professional baseball batter's internal physics engine; that is a model of his world. He needs to have a rough approximation of the speed, direction, spin, and aerodynamic action of a thrown ball to make contact with his bat. If he does that more often than other batters, we call him a good hitter; if he does this a lot, he becomes an All-Star. But his model doesn't need to be perfect, just good enough to understand where the ball will be as he brings his bat around.

Here's the problem: Good enough for a specific task—batting, driving, investing—requires only a narrow understanding of a relatively small subset of factors to achieve success. You don't need to know everything about, well, anything, to be reasonably successful at these tasks.

Investors, similarly, don't need to understand their universe perfectly to be successful. But they need to be humble enough to recognize what they do and don't know to achieve the specific goals they set for themselves via a portfolio.